

Company Vehicle Safety & Usage Policy Agreement

Employee Name: _____ Driver's License Number: _____

Location: _____ Car License Plate Number: _____

Johnstone Supply of CNY provides vehicles for business use to allow employees to drive on company-designated business and to reimburse employees for business use of personal vehicles according to the guidelines below. The company retains the right to amend or terminate this policy at any time. The term "vehicle," as used in these guidelines, includes, but is not limited to, cars, trucks, and vans.

1. Employees may not drive any business vehicles without prior approval of their manager. Prior to approving a driver and periodically thereafter, managers must check the employee's driving record. Employees approved to drive on company business are required to inform their manager of any changes that may affect either their legal or physical ability to drive or their continued insurability. Maintain insurance coverage of at least \$300,000 for bodily injury on any personal vehicle used for company business.
2. Employees holding jobs requiring regular driving for business as an essential job function must, as a condition of employment, be able to meet the driver approval standards of this policy at all times. Maintain a valid driver's license and remain fully insurable. Wear a seat belt and require passengers to wear their seat belts.
3. Employees who drive a vehicle on company business must, in addition to meeting the approval requirements above, exercise due diligence to drive safely and to maintain the security of the vehicle and its contents. Use of handheld cell phones (including texting) while behind the wheel of a moving vehicle being used on company business is strictly prohibited. Employees are responsible for any driving infractions or fines as a result of their driving. Operate the vehicle in a safe, defensive manner, and obey all traffic laws.
4. Nonemployees and nonbusiness passengers (i.e., family and friends) are prohibited from riding in company vehicles.
5. Employees who use their personal vehicles for approved business purposes will receive a mileage allowance equal to the Internal Revenue Service optional mileage allowance for such usage. This allowance is to compensate for the cost of gasoline, oil, depreciation and insurance. Employees who operate personal vehicles for company business should obtain auto liability coverage for bodily injury and property damage with a special endorsement for business use, when necessary as determined by their personal insurance agent.
6. Employees must report any accident, theft or malicious damage involving a company vehicle to their supervisor and the Human Resources Department, regardless of the extent of damage or lack of injuries. Such reports must be made as soon as possible but no later than 48 hours after the incident. Employees are expected to cooperate fully with authorities in the event of an accident. However, employees should make no voluntary statement other than in reply to questions of investigating officers.
7. Employees who are on call on a 24-hour basis may be allowed to take a company vehicle home so they can respond as soon as possible. Such employees need to provide a written acknowledgment that they fully understand that the vehicle is used only as part of emergency response and not for personal use.
8. Employees are not permitted, under any circumstances, to operate a company vehicle or a personal vehicle for company business when any physical or mental impairment causes the employee to be unable to drive safely. Additionally, employees shall not operate any company vehicle at any time or operate any personal vehicle while on company business while using or consuming alcohol, illegal drugs or prescription medications that may affect their ability to drive. These prohibitions include circumstances in which the employee is temporarily unable to operate a vehicle safely or legally because of impairment, illness, medication or intoxication.

9. Employees will not alter the vehicle unless authorized by company management. Examples include:

- Installation of stereos, amplifiers, radar detectors
- Installation of trailer hitches for personal use
- Aftermarket accessories such as bug deflectors, window tinting, running boards and visors
- Personalized or vanity license plates

The company reserves the right to withdraw this privilege at any time.

I, _____, have read and understand the *Vehicle Safety & Usage Policy Agreement established* by Johnstone Supply of CNY. I agree to abide by the provisions of this policy. I understand that violation of this policy will result in disciplinary action, up to and including termination of employment.

Employee Signature: _____ Date: _____

Witness (Manager): _____ Date: _____